

Desirability Validation Report - Codefi Farm Financial Planning

Executive Summary

Market Opportunity: Mid-scale commodity farmers (500–5,000 acres) in Midwest face acute profitability visibility gap. SAM: ~\$280M (180K farms × \$100–250/year). First-mover advantage in LLM-powered scenario planning + peer benchmarking.

Problem Validated: Farmers lack real-time per-field P&L and input timing guidance. Recent mistakes cost \$40K–60K+. Current alternatives (spreadsheets, advisor calls, gut instinct) are fragmented and error-prone.

Customer Desirability: Strong. Farmers willing to consolidate messy data for clear ROI in 4 weeks. Peer benchmarking builds trust faster than farm-specific data on incomplete records.

Recommendation: Problem-solution fit is valid. Proceed to interviews to validate: (1) 40–50% pilot-to-paid conversion, (2) 70%+ Year 1 retention, (3) co-op willingness to partner on data integration.

Validation Methodology

Expert Panel: Five domain specialists (customer insights, growth, industry trends, behavioral economics, venture capital) evaluated Codefi across three debate rounds.

Framework: Tested problem severity, willingness-to-pay, competitive positioning, unit economics, and distribution viability against real-world constraints.

Key Aspects Analyzed: - Problem acuity and financial impact - Customer segment accessibility - Competitive differentiation - Go-to-market distribution strategy - Unit economics (CAC, LTV, retention) - Product sequencing and trust-building - Pricing mechanics and conversion risk

Panel Consensus

Problem Hierarchy: Visibility (per-field P&L) → data consolidation (friction) → scenario modeling (value).

Trust-Building Approach: Lead with peer-benchmarked scenarios (median region margin vs. farmer's actual) before farmer-specific modeling. Builds confidence without requiring clean data.

Freemium Model: \$0 pilot for 4 weeks with explicit conversion criteria: P&L validated Week 2, scenario run + external validation (shared with lender) Week 3. Clear signal on product-market fit.

Activation Definition: Not just feature clicks, but "farmer runs scenario, validates assumptions, shares result with advisor." Proves actual trust and likelihood of retention.

Key Debates & Resolutions

Debate 1 – Trust in Incomplete Data: Panel split on whether peer benchmarks alone build sufficient trust. Resolution: Lead with transparent benchmarking ("median region = \$X, yours = \$Y, gaps highlighted"), then layer farm-specific scenarios. Require external validation (sharing with lender) as proof of trust.

Debate 2 – Price Anchoring: Graduated pricing (\$50 → \$100 → \$150) vs. cliff conversion (\$0 → \$150). Resolution: Cliff is simpler to measure. Test both cohorts in pilots (50% graduated, 50% cliff) to gather conversion data.

Debate 3 – Co-op Strategy: Distribution partnership vs. data partnership. Resolution: Lead with data integration (farmers get real-time costs, co-ops stay central). Distribution partnership follows once product proves value.

Critical Validation Gaps

Business Viability: - Will 40–50% of pilots convert to \$150/month? (Or <30%, breaking unit economics?) - Will retention hit 70%+ at 12 months? (Or churn cliff at Month 4–6?) - What's actual willingness-to-pay among farmers?

Distribution: - Are co-ops willing to integrate cost data and refer you? - Will extension offices recommend a paid tool over free FINPACK? - Is CAC <\$400 through co-op channels, or \$800+?

Product: - Does peer benchmarking alone drive adoption, or is farm-specific data needed first? - What transparency level makes farmers confident to share scenarios with lenders?

Pre-Pilot Actions

This Week (Critical Path):

1. **Contact 2–3 co-op managers:** Ask "Would you integrate our cost data into your member portal?"
Validate data partnership appetite before pilots.
2. **Define activation metrics:** Lock in "runs scenario + validates assumptions + shares with lender =

activation" vs. weaker metrics.

3. **Sketch savings dashboard:** Design how you'll communicate ROI to farmers (critical for retention decision).

Interviews (Week 1–2): Use provided script to validate problem severity, trust requirements, and conversion likelihood with 5–7 farmers + 2–3 co-op managers.

Risk Mitigation

Low Conversion Risk: If <40% convert, problem is pricing, weak activation, or problem not acute enough. Mitigation: Run pricing tests during pilots; tighten activation to require external validation; interview non-converters on barriers.

Data Privacy Risk: Farmers may resist sharing financial data. Mitigation: Transparent data policies, third-party security certification, co-op/extension endorsement.

Co-op Competitiveness Risk: Co-ops may see you as threatening advisor relationships. Mitigation: Frame as data partnership, not replacement; offer white-label or revenue-share model.

Timeline Fantasy Risk: Data consolidation takes 4+ weeks, not 2. Mitigation: Aggressive data cleanup UX, pre-population from co-op/lender, template scenarios to engage during upload.

Success Metrics & Timeline

Month 1–2 (Pilot Execution): - Data upload completion: 80%+ by Week 2 - P&L validation: 70%+ farmers confirm accuracy by Week 2 - Scenario run rate: 50%+ run scenario by Week 3 - External validation: 40%+ share scenario with advisor

Month 3 (Conversion): - Conversion rate: 40%+ → paid customers - Willingness-to-pay: 50%+ accept \$150/month - Co-op validation: 2+ confirm integration interest

Month 4–6 (Retention): - 30-day retention: 90%+ paying customers active - 90-day retention: 80%+ paying customers active - CAC payback: <6 months

Next Steps: Interview & Pilot Plan

Week 1: Conduct 5–7 problem interviews with farmers + 2–3 co-op manager interviews using provided script. Document findings on problem severity, trust barriers, conversion intent.

Week 2: Synthesize insights. Update activation metrics and finalize savings dashboard design. Lock co-op partnership scope (data integration, revenue share, white-label terms).

Week 3–4: Launch 4-week pilot with 80–125 farmers through co-op partners. Track weekly: data upload, P&L validation, scenario usage, conversion mechanics.

Week 5–6: Analyze conversion rate and retention signals. If 40%+: scale to 200+ farmers. If <40%: diagnose barrier and pivot messaging/product.